



Corporation Loss Continuity and Application (2024 and later tax years)

Corporation's name	Business number	Tax year-end Year Month Day
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- Use this form to determine the continuity and use of available losses; to determine a current-year non-capital loss, farm loss, restricted farm loss, limited partnership loss, or restricted interest and financing expense; to determine the amount of restricted farm losses, limited partnership losses, and restricted interest and financing expenses (RIFE) that can be applied in a year; and to ask for a loss carryback to previous years.
- A corporation can choose whether or not to deduct an available loss from income in a tax year. The corporation can deduct losses in any order. However, for each type of loss, deduct the oldest loss first.
- All legislative references are to the Income Tax Act.
- According to subsection 111(4), when control has been acquired, no amount of capital loss incurred in a tax year ending before that time is deductible when calculating taxable income for a tax year ending after that time. Also, no amount of capital loss incurred in a tax year ending after that time is deductible when calculating taxable income for a tax year ending before that time.
- When control has been acquired, subsection 111(5) provides for similar treatment of non-capital and farm losses except as listed in paragraphs 111(5)(a) and (b), and of RIFE except as listed in paragraph 111(5)(a).
- For information on these losses, see Guide T4012, T2 Corporation – Income Tax.
- File this schedule with the T2 Corporation Income Tax Return, or send the schedule by itself to the tax centre where the return is filed.

Part 1 – Non-capital losses

Determination of current-year non-capital loss

Net income (loss) for income tax purposes		1A
RIFE deducted in the year under paragraph 111(1)(a.1) (enter as a positive amount)		1B
Net capital losses deducted in the year (enter as a positive amount)		1C
Taxable dividends deductible under section 112 or subsections 113(1) or 138(6)		1D
Amount of Part VI.1 tax deductible under paragraph 110(1)(k)		1E
Amount deductible as prospector's and grubstaker's shares – Paragraph 110(1)(d.2)		1F
Employer deduction for non-qualified securities – Paragraph 110(1)(e)		1G
Subtotal (total of amounts 1B to 1G)	▶	1H
Subtotal (amount 1A minus amount 1H; if positive, enter "0")		1I
Section 110.5 or subparagraph 115(1)(a)(vii) – Addition for foreign tax deductions		1J
Subtotal (amount 1I minus amount 1J)		1K
Current-year farm loss (the lesser of: the net loss from farming or fishing included in income and the non-capital loss before deducting the farm loss)		1L
Current-year non-capital loss (amount 1K plus amount 1L, if positive enter "0")		1M

If amount 1M is negative, enter it on line 110 as a positive amount.

Continuity of non-capital losses and request for a carryback

Non-capital losses at the end of the previous tax year		1N
Non-capital loss expired ¹	100	
Non-capital losses at the beginning of the tax year (amount 1N minus line 100)	102	▶
Non-capital losses transferred on an amalgamation or on the wind-up of a subsidiary ² corporation	105	
Current-year non-capital loss (from amount 1M)	110	
Subtotal (line 105 plus line 110)	▶	1O
Subtotal (line 102 plus amount 1O)		1P

¹ A non-capital loss expires after **20 tax years** and an allowable business investment loss becomes a net capital loss after **10 tax years**.

² Subsidiary is defined in subsection 88(1) as a taxable Canadian corporation of which 90% or more of each class of issued shares are owned by its parent corporation and the remaining shares are owned by persons that deal at arm's length with the parent corporation.

Part 1 – Non-capital losses (continued)

Other adjustments (includes adjustments for an acquisition of control) **150** _____

Section 80 – Adjustments for forgiven amounts **140** _____

Non-capital losses of previous tax years applied in the current tax year **130** _____

Enter the amount from line 130 on line 331 of the T2 return.

Current and previous years non-capital losses applied against current-year taxable dividends subject to Part IV tax ³ **135** _____

Subtotal (total of lines 150, 140, 130 and 135) _____ ► _____ 1Q

Non-capital losses before any request for a carryback (amount 1P minus amount 1Q) _____ 1R

Request to carry back non-capital loss to:

First previous tax year to reduce taxable income **901** _____

Second previous tax year to reduce taxable income **902** _____

Third previous tax year to reduce taxable income **903** _____

First previous tax year to reduce taxable dividends subject to Part IV tax **911** _____

Second previous tax year to reduce taxable dividends subject to Part IV tax **912** _____

Third previous tax year to reduce taxable dividends subject to Part IV tax **913** _____

Total of requests to carry back non-capital losses to previous tax years (total of lines 901 to 913) _____ ► _____ 1S

Closing balance of non-capital losses to be carried forward to future tax years (amount 1R minus amount 1S) **180** _____

³ Line 135 is the total of lines 330 and 335 from Schedule 3, Dividends Received, Taxable Dividends Paid, and Part IV Tax Calculation.

Part 2 – Capital losses**Continuity of capital losses and request for a carryback**

Capital losses at the end of the previous tax year **200** _____

Capital losses transferred on an amalgamation or on the wind-up of a subsidiary corporation **205** _____

Subtotal (line 200 plus line 205) _____ ► _____ 2A

Other adjustments (includes adjustments for an acquisition of control) **250** _____

Section 80 – Adjustments for forgiven amounts **240** _____

Subtotal (line 250 plus line 240) _____ ► _____ 2B

Subtotal (amount 2A minus amount 2B) _____ 2C

Current-year capital loss (from the calculation on Schedule 6, Summary of Dispositions of Capital Property) **210** _____

Unused non-capital losses from the 11th previous tax year ⁴ _____ 2D

Allowable business investment losses (ABILs) that expired as non-capital losses at the end of the previous tax year ⁵ _____ 2E

Enter amount 2D or 2E, whichever is less. **215** _____

ABILs expired as non-capital losses (line 215 multiplied by 2) **220** _____

Subtotal (amount 2C plus line 210 plus line 220) _____ 2F

Note

If there has been an amalgamation or a wind-up of a subsidiary, do a separate calculation of the ABIL expired as non-capital loss for each predecessor or subsidiary corporation. Add all these amounts and enter the total on line 220.

⁴ Determine the amount of the non-capital loss from the **11th previous tax year**, and enter the part of the non-capital loss that was not deducted in the **previous 11 years**.

⁵ Enter the amount of the ABILs from the **11th previous tax year**. Enter the full amount on amount 2E.

Part 2 – Capital losses (continued)

Capital losses from previous tax years applied against the current-year net capital gain ⁶	225 _____
Capital losses before any request for a carryback (amount 2F minus line 225)	_____ 2G
Request to carry back capital loss to: ⁷	
First previous tax year	951 _____
Second previous tax year	952 _____
Third previous tax year	953 _____
Subtotal (total of lines 951 to 953)	_____ ► _____ 2H
Closing balance of capital losses to be carried forward to future tax years (amount 2G minus amount 2H) ⁸	280 _____

⁶ To get the net capital losses required to reduce the taxable capital gain included in the net income (loss) for the current tax year, enter the amount from line 225 **divided** by 2 at line 332 of the T2 return.

⁷ On line 225, 951, 952, or 953, whichever applies, enter the actual amount of the loss. When the loss is applied, **divide** this amount by 2. The result represents the 50% inclusion rate.

⁸ Capital losses can be carried forward indefinitely.

Part 3 – Farm losses**Continuity of farm losses and request for a carryback**

Farm losses at the end of the previous tax year	_____ 3A
Farm loss expired ⁹	300 _____
Farm losses at the beginning of the tax year (amount 3A minus line 300)	302 _____ ► _____
Farm losses transferred on an amalgamation or on the wind-up of a subsidiary corporation	305 _____
Current-year farm loss (amount 1L in Part 1)	310 _____
Subtotal (line 305 plus line 310)	_____ ► _____ 3B
Subtotal (line 302 plus amount 3B)	_____ 3C
Other adjustments (includes adjustments for an acquisition of control)	350 _____
Section 80 – Adjustments for forgiven amounts	340 _____
Farm losses of previous tax years applied in the current tax year	330 _____
Enter the amount from line 330 on line 334 of the T2 Return.	
Current and previous years farm losses applied against current-year taxable dividends subject to Part IV tax ¹⁰	335 _____
Subtotal (total of lines 350, 340, 330 and 335)	_____ ► _____ 3D
Farm losses before any request for a carryback (amount 3C minus amount 3D)	_____ 3E

Request to carry back farm loss to:

First previous tax year to reduce taxable income	921 _____
Second previous tax year to reduce taxable income	922 _____
Third previous tax year to reduce taxable income	923 _____
First previous tax year to reduce taxable dividends subject to Part IV tax	931 _____
Second previous tax year to reduce taxable dividends subject to Part IV tax	932 _____
Third previous tax year to reduce taxable dividends subject to Part IV tax	933 _____
Subtotal (total of lines 921 to 933)	_____ ► _____ 3F
Closing balance of farm losses to be carried forward to future tax years (amount 3E minus amount 3F)	380 _____

⁹ A farm loss expires after **20 tax years**.

¹⁰ Line 335 is the total of lines 340 and 345 from Schedule 3.

Part 4 – Restricted farm losses**Current-year restricted farm loss**

Total losses for the year from farming business	485	_____
(line 485 _____ – \$2,500) divided by 2	4A	_____
Amount 4A or \$15,000, whichever is less		_____ 4B
		_____ 4C
Subtotal (amount 4B plus amount 4C)		_____ 4D
Current-year restricted farm loss (line 485 minus amount 4D)		_____ 4E

Continuity of restricted farm losses and request for a carryback

Restricted farm losses at the end of the previous tax year	4F	_____
Restricted farm loss expired ¹¹	400	_____
Restricted farm losses at the beginning of the tax year (amount 4F minus line 400)	402	_____ ▶ _____
Restricted farm losses transferred on an amalgamation or on the wind-up of a subsidiary corporation	405	_____
Current-year restricted farm loss (from amount 4E)	410	_____
Enter the amount from line 410 on line 233 of Schedule 1, Net Income (Loss) for Income Tax Purposes.		
Subtotal (line 405 plus line 410)		_____ 4G
Subtotal (line 402 plus amount 4G)		_____ 4H
Restricted farm losses from previous tax years applied against current farming income	430	_____
Enter the amount from line 430 on line 333 of the T2 return.		
Section 80 – Adjustments for forgiven amounts	440	_____
Other adjustments	450	_____
Subtotal (total of lines 430 to 450)		_____ ▶ _____ 4I
Restricted farm losses before any request for a carryback (amount 4H minus amount 4I)		_____ 4J
Request to carry back restricted farm loss to:		
First previous tax year to reduce farming income	941	_____
Second previous tax year to reduce farming income	942	_____
Third previous tax year to reduce farming income	943	_____
Subtotal (total of lines 941 to 943)		_____ ▶ _____ 4K
Closing balance of restricted farm losses to be carried forward to future tax years (amount 4J minus amount 4K)	480	_____

Note

The total losses for the year from all farming businesses are calculated without including scientific research expenses.

¹¹ A restricted farm loss expires after **20 tax years**.

Listed personal property losses at the end of the previous tax year	5A
Listed personal property loss expired 12	500
Listed personal property losses at the beginning of the tax year (amount 5A minus line 500)	502
Current-year listed personal property loss (from Schedule 6)	510
Subtotal (line 502 plus line 510)	5B

Other adjustments	550		
	Subtotal (line 530 plus line 550)		5C
	Listed personal property losses remaining before any request for a carryback (amount 5B minus amount 5C)		5D

First previous tax year to reduce listed personal property gains	961	
Second previous tax year to reduce listed personal property gains	962	
Third previous tax year to reduce listed personal property gains	963	
Subtotal (total of lines 961 to 963)		5E
Closing balance of listed personal property losses to be carried forward to future tax years (amount 5D minus amount 5E)	580	

Part 6 – Analysis of balance of losses by year of origin

[illegible]

¹⁴ A non-capital loss expires after **20 tax years** and an allowable business investment loss becomes a net capital loss after **10 tax years**.

Part 7 – Limited partnership losses**Current-year limited partnership losses**

1 Partnership account number	2 Tax year ending YYYY-MM-DD	3 Corporation's share of limited partnership loss	4 Corporation's at-risk amount	5 Total of corporation's share of partnership investment tax credit, clean economy tax credit, farming losses, and resource expenses ¹⁵	6 Column 4 minus column 5 (if negative, enter "0")	7 Current-year limited partnership losses (column 3 minus column 6)
600	602	604	606	608		620
Total (enter this amount on line 222 of Schedule 1)						

Limited partnership losses from previous tax years that may be applied in the current year

1 Partnership account number	2 Tax year ending YYYY-MM-DD	3 Limited partnership losses at the end of the previous tax year and amounts transferred on an amalgamation or on the wind-up of a subsidiary	4 Corporation's at-risk amount	5 Total of corporation's share of partnership investment tax credit, clean economy tax credit, business or property losses, and resource expenses ¹⁵	6 Column 4 minus column 5 (if negative, enter "0")	7 Limited partnership losses that may be applied in the year (the lesser of column 3 and 6)
630	632	634	636	638		650

Continuity of limited partnership losses that can be carried forward to future tax years

1 Partnership account number	2 Limited partnership losses at the end of the previous tax year	3 Limited partnership losses transferred in the year on an amalgamation or on the wind-up of a subsidiary	4 Current-year limited partnership losses (from line 620)	5 Limited partnership losses applied in the current year (must be equal to or less than line 650)	6 Current year limited partnership losses closing balance to be carried forward to future years (column 2 plus column 3 plus column 4 minus column 5)
660	662	664	670	675	680
Total (enter this amount on line 335 of the T2 return)					

If you need more space, you can attach more schedules.

¹⁵ Clean economy tax credit is defined in subsection 127.47(1).

Part 8 – Restricted interest and financing expenses (RIFE)**Continuity of RIFE**

RIFE at the end of the previous tax year **700** _____

RIFE transferred on an amalgamation or on the wind-up of a subsidiary corporation **705** _____

RIFE adjustments for an acquisition of control **750** _____

Subtotal (line 700 **plus** line 705 **minus** line 750) _____ ► 8A

Enter amount 8A on line 128 in Part 2J of Schedule 130, Excessive Interest and Financing Expenses Limitation.

Current-year restricted interest and financing expense determined under subsection 111(8)
(amount A from Part 2O of Schedule 130) **710** _____

RIFE deducted for the tax year ¹⁶ **730** _____

Enter the amount from line 730 on line 336 of the T2 return.

Closing balance of RIFE (amount 8A **plus** line 710 **minus** line 730) **780** _____

¹⁶ The amount deducted **must** not exceed amount B in Part 2J of Schedule 130.

Part 9 – Election under paragraph 88(1.1)(f)

If you are making an election under paragraph 88(1.1)(f), tick the box **190** ☐ Yes

In the case of the wind-up of a subsidiary, if the election is made, the non-capital loss, restricted farm loss, farm loss, or limited partnership loss of the subsidiary—that otherwise would become the loss of the parent corporation for a particular tax year starting after the the wind-up began—will be considered as the loss of the parent corporation for its immediately preceding tax year and not for the particular year.

Note

This election is only applicable for wind-ups under subsection 88(1) that are reported on Schedule 24, First-Time Filer after Incorporation, Amalgamation, or Winding-up of a Subsidiary into a Parent.

See the privacy notice on your return.